

This busy port In Seattle demonstrates the strength of the U.S. economy today, with ships carrying imports and exports into and out of the harbor. In the early 1800s, the embargo Jefferson enforced against foreign imports really only hurt the United States. Once America became a strong economic power by the 20th century, the embargoes it placed on other countries, such as Cuba and Iran, were far more effective.

Copyright 2025 Cengage Learning. All Rights Reserved. May not be copied, scanned, or duplicated, in whole or in part. Due to electronic rights, some third party content may be suppressed from the eBook and/or eChapter(s). Editorial review has deemed that any suppressed content does not materially affect the overall learning experience. Cengage Learning reserves the right to remove additional content at any time if subsequent rights restrictions require it.

3.1 Neutrality or War?

When people get into a fight, do you join in or walk away? Thomas Jefferson probably wanted to focus on Lewis and Clark's discoveries in the Louisiana Territory. Unfortunately, the war brewing abroad kept demanding his attention.

MAIN IDEA Jefferson's plan to remain neutral during a war between Britain and France backfired.

JEFFERSON'S FOREIGN POLICY

In his 1801 Inaugural Address, Jefferson had explained his foreign policy. The United States, he said, was "separated by nature and a wide ocean from the exterminating havoc [deadly chaos] of one quarter of the globe." The last part referred to Europe. Among his "essential principles of government" were "peace, commerce, and honest friendship with all nations, entangling alliances with none." In other words, he wished the United States to remain neutral. Easier said than done.

After Napoleon gave up on expansion in North America, he turned to Europe and began a war with Britain in 1803. At first, American merchants profited from U.S. neutrality and sold provisions and weapons to both countries. Yet soon the British and French navies tried to block American ships from supplying their enemy. In addition, Britain authorized its navy to capture American ships and force the sailors to serve the British Navy—an act called **impressment**.

CUTTING OFF TRADE

Although many Americans called for war, the United States remained neutral. But trade with Britain and France became more difficult after Napoleon threatened to seize any ship that engaged in trade with Britain. In response, Jefferson urged Congress to pass the Non-Importation Act, which banned British imports. He also closed U.S. ports and waters to British ships. The British answered by continuing impressment, firing on U.S. coastal towns, and entering the Chesapeake Bay.

In response, Congress passed the **Embargo Act of 1807**. An **embargo** is a law that restricts commerce with one or more nations. The act was supposed to stop all foreign imports from arriving in American harbors, but smugglers still got through. Congress allowed the president to use militia against these illegal traders.

While these steps stopped the smuggling, the embargo had disastrous effects on the U.S. economy. The Treasury's chief source of income—**customs**, or taxes placed on imported and exported goods—dwindled. The embargo particularly affected New England farmers, whose crops were no longer being exported abroad, and New England merchants, who depended on European trade for much of their business. After New Englanders demanded an end to the embargo, Congress passed laws in 1809 that reopened trade with all nations except Britain and France.

Despite the impact of the embargo, Jefferson remained popular. His endorsement of fellow Democratic-Republican James Madison in the 1808 presidential election resulted in a landslide victory against the Federalists. The election proved that Americans still supported the policies of Jefferson's Democratic-Republicans. As it turned out, these policies would soon be tested at home.

HISTORICAL THINKING

1. **READING CHECK** What was Jefferson's foreign policy?
2. **ANALYZE CAUSE AND EFFECT** How did the Embargo Act of 1807 affect Americans?
3. **SUMMARIZE** What foreign actions tested Jefferson's policy of neutrality?

Copyright 2025 Cengage Learning. All Rights Reserved. May not be copied, scanned, or duplicated, in whole or in part. Due to electronic rights, some third party content may be suppressed from the eBook and/or eChapter(s). Editorial review has deemed that any suppressed content does not materially affect the overall learning experience. Cengage Learning reserves the right to remove additional content at any time if subsequent rights restrictions require it.